
PAPERBOY

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Treasury put a name on the Iran policy: Scott Bessent said out loud that the goal is to collapse the regime.

AI

Card-spending data says OpenAI is winning enterprise buyers back from Anthropic

WHAT HAPPENED

Ramp, which processes corporate cards for [more than 70,000 American businesses](#), says OpenAI is growing faster than Anthropic among its customers this quarter — reversing a year of Anthropic gains. The same panel had Anthropic at 41% share against OpenAI's 39% in May, widening to nearly 44% against 40% by July. Paid AI adoption across Ramp's customers reached 56% of companies in July, up from 50% in March. Ramp economist Ara Kharazian credits the model releases: “GPT-5.6 Sol is really good, increasingly the choice for developers...Fable 5, meanwhile, disappointed both in adoption and real-world application.”

WHAT IT MEANS

This is one vendor's card panel, not a market share figure, and it excludes large enterprises that run spend through Amex. Take the direction, not the decimals. What it captures is that enterprise AI buying is now churning — a single model release moves seat counts within a quarter, which is not how enterprise software behaves.

WATCH NEXT

Ramp updates monthly; the September read is the first full post-Sol quarter.

Micro1's revenue run rate quintupled — and the number that matters is a third of the headline

WHAT HAPPENED

The four-year-old AI training-data firm has taken gross annualised run rate from \$100m to [\\$500m in roughly eight months](#), a person familiar with its finances told TechCrunch. Net run rate is \$150m–\$200m, because Micro1 keeps only 60–70% of gross — the rest goes to the human labellers. It last priced a Series A at a \$500m valuation in September 2025 and is said to have raised since at a “significantly higher” number. Founder Ali Ansari has been attacking rivals on national-security grounds: “It's shameful to claim American AI dominance desires while selling millions worth of data to countries that we are in adversarial competition with.”

WHAT IT MEANS

Every figure is from anonymous sources and the company declined to comment — unconfirmed. The structural point survives: labs are still paying heavily for human-generated data at a moment when the industry insists synthetic data has solved this. Gross-versus-net matters too — a labour-passthrough business dressed as software is how Scale AI was read for years.

WATCH NEXT

Whether the new valuation is ever disclosed, and by whom.

Grok started returning word salad; xAI called it a glitch and moved on

WHAT HAPPENED

Grok Lite users spent much of this week getting incoherent strings back instead of answers — one request for a PDF [returned](#) “match it without and your they and two for planets can practical and often cheese...”. The Grok account on X called it “a rare temporary generation glitch...Start a fresh chat or regenerate—it usually clears right away.” xAI said nothing further. The company had lost most of its founding team and roughly 50 researchers and engineers as of May.

WHAT IT MEANS

Degenerate sampling output is a known failure mode, usually a serving-stack or decoding bug rather than anything about training. The story is not the bug, it is that nobody was there to explain it. Single-outlet, sourced to user reports and one post.

WATCH NEXT

Whether xAI publishes a postmortem, which it has not done for previous incidents.

Enterprise flash now costs 18.6 times more per terabyte than disk

WHAT HAPPENED

A 30TB enterprise TLC SSD now goes for \$22,600, against \$3,460 a year ago. The comparable 30TB nearline hard drive is \$1,216, up from \$495 in the third quarter of 2025. That puts flash at [18.6 times the cost per terabyte](#), per VDURA's August Flash Volatility Index. On those numbers a 25-petabyte AI storage tier costs \$51.6m all-flash against \$12.86m hybrid. Western Digital says hard-drive output is “sold out for 2026”; Seagate says nearline capacity is “almost fully allocated through calendar 2027”. New buyers cannot get contract pricing at all — only spot.

WHAT IT MEANS

This is a vendor index with undisclosed methodology, and VDURA restated its own Q1 figure upward by 60% in April, so attribute it rather than bank it. The direction is corroborated by TrendForce NAND contract prices: up 10–15% quarter-on-quarter in Q3 after 70–75% in Q2. AI storage is quietly becoming a capex line that rivals the accelerators in front of it.

WATCH NEXT

TrendForce's Q4 NAND contract-price release, and whether hyperscalers start disclosing storage capex separately.

SK hynix settles with its unions on 6.3% — and pays most of the bonus in stock

WHAT HAPPENED

Management and the existing unions reached a [tentative 2026 wage deal](#): a 6.3% raise, with the profit-sharing bonus split 40% cash, 60% treasury shares. Two-thirds of the share portion is sellable immediately. That replaces last year's structure of 80% cash and 20% locked up for a decade. It is not settled: a fourth union formed on 13 August with over 3,300 members, campaigning for cash-only bonuses and aiming to become the majority representative. Ratification votes are pending with no date set.

WHAT IT MEANS

Outlets disagree by a factor of ten on the size of the profit pool, so we are not quoting a total. The mechanism is the story: the world's most profitable memory maker is paying its workforce in its own equity at the top of a cycle. That is a bet the cycle has further to run, and the fourth union is the internal dissent from it.

WATCH NEXT

Ratification votes, and whether the new union crosses into majority representation.

Court testimony alleges CXMT's leadership directed the theft of Samsung's DRAM recipes

WHAT HAPPENED

A former Samsung engineer surnamed Jeon — 28 years at the company before moving to China's CXMT around 2016, and sentenced to seven years in April — [told a Korean court](#) that “from the beginning, CXMT CEO and CTO tried to develop DRAM by stealing Samsung Electronics' Process Recipe Plan (PRP) information.” The PRP for Samsung's 18nm-class DRAM process runs to roughly 600 steps. He alleged CXMT had no research facilities or intention to develop the technology itself. Neither company is quoted.

WHAT IT MEANS

A convicted defendant's account, reported by one outlet, and exactly the claim a defendant has reason to make; the underlying conviction is separately documented. It matters because CXMT is the company most often cited as evidence China can close the memory gap domestically — and this testimony, if it holds, argues the gap was closed by photocopier.

WATCH NEXT

Whether Samsung files civil proceedings, and any CXMT response.

BUSINESS

Walmart beat on every line and the stock fell 9.6%

WHAT HAPPENED

Second-quarter revenue was [\\$187.9bn, up 5.9%](#); US comparable sales rose 2.6% excluding fuel; US eCommerce grew 24% and global eCommerce 23%. Operating income rose 28.8% to \$9.383bn. Adjusted EPS was \$0.81. Full-year guidance is 4.0–5.0% constant-currency sales growth and adjusted EPS of \$2.80–\$2.87. Chief executive John Furner: “Our team delivered another good quarter.” Shares closed [down 9.6% at \\$103.32](#).

WHAT IT MEANS

A 9.6% drop on a clean beat means the guidance, not the quarter, was the problem: 7.0–8.5% adjusted operating income growth is deceleration from a business the market had priced as an AI-adjacent compounder. Walmart has spent two years being valued on its advertising and marketplace margin story rather than its groceries. Thursday was the market checking that story against the numbers.

WATCH NEXT

Whether the advertising and membership disclosures hold up at the Q3 print in November.

Ross books a \$253m tariff refund — the second big one this week

WHAT HAPPENED

Ross Stores reported [sales of \\$6.3bn, up 13%](#), comparable store sales up 10%, net income of \$851m and diluted EPS of \$2.66 for the quarter ended 1 August. Inside that: roughly \$253m of IEEPA tariff refunds, booked pretax within operating profit and worth about \$0.60 a share after tax — some 405 basis points of operating margin. Full-year guidance is EPS of \$8.61–\$8.77. Chief executive Jim Conroy said the company “achieved stellar sales and earnings growth in the second quarter,” with comps “once again primarily driven by customer traffic.”

WHAT IT MEANS

Ex-refund EPS is nearer \$2.06, so the headline is meaningfully flattered. More to the point, this is the second large US retailer this week to book a material tariff refund on the same pretax basis, after Target's \$994m. These are one-off recoveries of duties already paid, not an improvement in the underlying business, and they will not repeat.

WATCH NEXT

How many more retailers book IEEPA refunds through the rest of earnings season.

Supermicro's board says management knew nothing about the \$2.5bn chip-smuggling case

WHAT HAPPENED

An independent board-led investigation found no evidence that current senior management, including chief executive Charles Liang, knew of an alleged scheme to divert roughly \$2.5bn of hardware containing Nvidia chips, [Fortune reported](#). The review, run by lead independent director Scott Angel and audit chair Tally Liu with Munger, Tolles & Olson and AlixPartners, also found no evidence of sales to banned entities. The company did fire staff in sales and support over policy breaches. Co-founder Yih-Shyan “Wally” Liaw was [indicted on 19 March](#) and has pleaded not guilty; he faces up to 20 years.

WHAT IT MEANS

Flagged as unconfirmed: there is no 8-K and no reachable company release — our verification pass found only the April statement announcing the probe, so the conclusion rests on secondary reporting. A board clearing its own management is also the weakest form of clearance. The DOJ indictment and the 20-year exposure are confirmed from the primary.

WATCH NEXT

Liaw's trial, reported as moved from November to March 2027 — a date we could not verify from the docket.

Castelion raises \$1bn at \$13bn to mass-produce hypersonic missiles

WHAT HAPPENED

The El Segundo weapons startup announced a [\\$1bn Series C](#) at a \$13bn valuation: \$800m of equity plus a \$250m committed revolving credit facility, co-led by Andreessen Horowitz, Carlyle and JPMorganChase's Strategic Investment Group, with Lightspeed, Lavrock, Altimeter, General Catalyst, Interlagos and T. Rowe Price participating. Castelion builds the Blackbeard hypersonic missile out of Torrance, California and a New Mexico plant, and says it has secured more than \$500m in US military contracts over the past 18 months. TechCrunch adds that it was founded in 2022 by former SpaceX executives — a detail not in the company's own release.

WHAT IT MEANS

Note the structure: a fifth of the headline is a credit line, which is how you finance manufacturing working capital, not research. The valuation is roughly 26 times contracted backlog, which only makes sense if you believe the Pentagon's hypersonics gap with China becomes a production programme rather than a procurement study. JPMorgan's balance sheet showing up alongside the venture funds is the tell.

WATCH NEXT

Any Blackbeard production contract award, and whether the credit facility gets drawn.

Anthropic is said to be sizing an IPO against SpaceX's record

WHAT HAPPENED

Anthropic plans to “match or beat” the size of SpaceX's record offering, [Fortune reported](#), relaying Bloomberg. For scale, SpaceX raised \$75bn — \$86.2bn with the over-allotment — at a \$1.77tn valuation. Anthropic was last privately valued at \$965bn in May. Its chief financial officer reportedly sidestepped questions about a valuation target. OpenAI is expected to follow in 2027.

WHAT IT MEANS

This is single-source at one remove, and it is close enough to the \$2tn IPO target reported earlier this month that it may be the same reporting thread re-aggregated. Treat it as unconfirmed. If it is real, the number to hold onto is not the valuation but the raise: \$75bn-plus of new equity into a company that does not yet have a public cost structure would be the largest capital transfer into AI infrastructure by a wide margin.

WATCH NEXT

An S-1 filing, which is the first thing here that would be a fact rather than a report.

Treasury names the goal: “we are going to collapse this regime”

WHAT HAPPENED

Treasury Secretary Scott Bessent said on Thursday that the Iran campaign “is going to work in Iran, and we are going to collapse this regime,” adding of third countries: “We're going to them and saying: You're either with us or against us. If you insist on doing business with them...the US government will put its full might and force towards enforcing against you.” He [declined to say whether China would be targeted](#). The same day OFAC posted a [designation tranche](#): 21 individuals, 16 entities and 10 fishing vessels across Hizballah and IRGC-Qods Force facilitators in Turkey, Cuban state enterprises, and an Ecuadorian cocaine network.

WHAT IT MEANS

The gap between the rhetoric and the paper is the story. Tuesday's “Economic D-Day” post threatened secondary sanctions on countries aiding Iran. Thursday's action contains no oil buyer, no refinery and no China-based company. The Turkey-based designees are third-country persons, but they are financial facilitators, not purchasers. Bessent promises details Monday. Until a Chinese refiner is on the list, this is enforcement of the existing programme with a louder press strategy.

WATCH NEXT

Monday's promised detail, and ofac.treasury.gov/recent-actions for any oil-purchaser designation.

FBI seizes Eric Swalwell's devices in a sexual-misconduct investigation

WHAT HAPPENED

Agents executed two search warrants over the weekend in a criminal investigation into allegations against the former Democratic congressman, [CBS News reported](#) on Thursday: one on Saturday night as Swalwell arrived at San Francisco International Airport, seizing his electronic devices, and a second on Sunday at his Washington home. Swalwell resigned in April and faces accusations from multiple women, including rape. He has acknowledged “mistakes in judgment” but calls the assault allegation “false”. The House Ethics Committee had opened an investigation before he quit.

WHAT IT MEANS

Matched by several outlets, so not single-source, though no charges have been filed and neither DOJ nor his counsel commented on the warrants. Search warrants require a judge to find probable cause, which is a meaningfully higher bar than an ethics referral — the investigation has moved from congressional to criminal.

WATCH NEXT

Any indictment, and which US Attorney's office brings it.

The Supreme Court is sitting on two emergency applications

WHAT HAPPENED

The East Wing ballroom case (26A203) has been [fully briefed since 18 August](#) — the National Trust for Historic Preservation's response and five amicus briefs landed that day, applicants filed their reply on 19 August, and the docket has been silent since. No order has issued. The separate mail-ballot emergency application, arising from Judge Talwani's second injunction in the District of Massachusetts, is likewise unresolved with nothing docketed on 20 or 21 August.

WHAT IT MEANS

Both applications concern executive action already under way, which is what makes the silence consequential rather than procedural. In emergency-docket practice, delay after full briefing usually means a written opinion or a dissent is being drafted — the Court's summary grants tend to arrive within days.

WATCH NEXT

Orders can issue any day, including weekends. Congress returns 11 September.

Seven Western governments tell companies not to bid on Israel's E1 settlement

WHAT HAPPENED

The leaders of the UK, France, Germany, Italy, the Netherlands, Canada and Norway issued a [joint statement](#) on Thursday calling the E1 tenders “unacceptable” and warning that “businesses should not consider bidding...They should be aware of legal and reputational consequences including the risk of involving themselves in serious breaches of international law.” The tender covers 1,234 homes with a bidding deadline of 19 October, a week before Israeli elections, within a project slated for at least 3,400. E1 spans about 12 square kilometres linking East Jerusalem to Ma'ale Adumim. Foreign Minister Gideon Sa'ar rejected the “patronizing tone”.

WHAT IT MEANS

The escalation is not the condemnation, which is routine, but the direct warning to contractors. That converts a diplomatic position into commercial risk for private bidders — a mechanism European governments have avoided for two decades. The Times of Israel reports the EU is preparing broader sanctions if construction starts; single-outlet, unconfirmed.

WATCH NEXT

The 19 October bidding deadline, and whether any contractor withdraws.

Hong Kong convicts the last leaders of the Tiananmen vigil

WHAT HAPPENED

A West Kowloon court found Lee Cheuk-yan, 69, and Chow Hang-tung, 41, [guilty of incitement to subversion](#) on Friday under the national security law, over their organisation of the annual candlelight vigils marking the 1989 crackdown. Both have been detained since being charged in 2021 — roughly five years of pre-trial custody — and face up to ten years. Sentencing has not been scheduled. The Hong Kong Alliance itself was also convicted; a third defendant, Albert Ho Chun-yan, pleaded guilty in January. Human Rights Watch's Elaine Pearson said the verdict “exposed the Chinese government's fears.”

WHAT IT MEANS

The vigil was the last mass public commemoration of Tiananmen anywhere under Chinese jurisdiction, and it ran for thirty years. Convicting the organisers for holding it closes that. Note the five years of custody before verdict: under the security law, the process is the punishment whatever the sentence.

WATCH NEXT

Sentencing, and whether the maximum ten years is imposed.

Romania shoots down an explosive drone at its offshore gas platform

WHAT HAPPENED

Two Romanian F-16s destroyed an explosive-laden maritime drone found a few hundred metres from active extraction at the Neptun Deep gas platform, 80 miles east of Constanta. Defence Minister Radu Miruta said it was disabled by cannon fire and then disposed of by coast guard bomb experts, and that he had [confirmed with Kyiv](#) that the drone was not Ukrainian. President Nicusor Dan condemned “the intensification of these types of irresponsible incidents from the Russian Federation.” Overnight, Ukraine's air force said Russia launched [135 drones](#), of which 107 were intercepted or suppressed; two women were killed in Lebyazhe, Kharkiv region, and six injured in Sumy.

WHAT IT MEANS

Russian origin is Bucharest's assertion, not independently established, and the drone counts are Ukraine's own. What is verifiable is the location: Neptun Deep is NATO-territory energy infrastructure and Romania's route out of Russian gas. An explosive device that close to it is a different category of incident from debris in a field.

WATCH NEXT

Whether Romania invokes NATO Article 4, as it has after previous airspace incidents.

SOURCES

[Walmart — Q2 FY27 earnings release \(primary\)](#)

[Ross Stores — Q2 2026 results \(primary\)](#)

[OFAC — Recent actions, 20 August 2026 \(primary\)](#)

[10 Downing Street — Joint statement on the E1 settlement plan \(primary\)](#)

[Supreme Court — Docket 26A203](#)

[DOJ — Three charged with conspiring to divert US AI technology \(primary\)](#)

[Castelion — \\$1bn Series C \(primary\)](#)

[TechCrunch — OpenAI gaining on Anthropic with business users](#)

[TechCrunch — Micro1 reaches \\$500m gross run rate](#)

[TechCrunch — Grok keeps sending gibberish responses](#)

[Tom's Hardware — Enterprise SSDs cost 18x more than hard drives per terabyte](#)

[Korea JoongAng Daily — SK hynix union reach tentative deal](#)

[Tom's Hardware — CXMT planned to use stolen Samsung IP, court hears](#)

[Fortune — Supermicro investigation clears CEO](#)

[Fortune — Anthropic sizing IPO against SpaceX](#)

[Al Jazeera — Bessent says new measures will collapse Iran](#)

[CBS News — FBI search warrants in Swalwell investigation](#)

[Al Jazeera — Hong Kong Tiananmen activists found guilty](#)

[Kyiv Independent](#) — Romanian military destroys maritime drone

[Kyiv Post](#) — Overnight drone barrage, 21 August

[Investing.com](#) — Walmart earnings reaction

[Al-Monitor](#) — Turkey, Egypt, Qatar condemn Israeli attacks in Gaza